



**United States Department of Veterans Affairs
Strategic Acquisition Center – Frederick
5202 Presidents Court, Suite 103
Frederick, MD 21703**

**Justification and Approval (J&A) for Other than Full and Open Competition
FAR 6.302-5 - Authorized or required by statute**

1. Identification of the agency and the contracting activity.

This Justification and Approval (J&A) for Other Than Full and Open Competition is executed by the Department of Veterans Affairs (VA), Strategic Acquisition Center – Frederick (SAC-F), on behalf of the Office of Information Technology (OI&T), Hines Information Technology Center (HITC).

2. Nature and/or description of the action being approved.

This activity proposed is to negotiate a Firm-Fixed-Price (FFP) noncompetitive award (sole source) action with Budget Service & Supplies LLC. (SAM UEI: C3T8BWJJU9W3) 2650 Middle Road Suite D, Jefferson, Indiana 47130 for the procurement of services for HITC Janitorial Services at the Hines ITC facility located 1st Avenue North of 22nd Street, Building 215, Hines, Illinois, 60141.

3. A description of the supplies or services required to meet the agency's needs.

The Contractor shall provide management, supervision, labor, materials, equipment, transportation, and supplies necessary to provide janitorial and related services to the Hines ITC Building 215, Hines, Illinois.

The Contractor shall perform janitorial services to present a clean, neat, and professional appearance at Hines ITC Building 215 in accordance with Building Owners and Managers Association (BOMA) commercial standards; all local, state, and federal laws; and the requirements of this Performance Works Statement.

4. An identification of the statutory authority permitting other than full and open competition.

The statutory authority permitting other than full and open competition is 41 U.S.C. § 3304(a)(5) as implemented by the Federal Acquisition Regulation (FAR) Subpart 6.302- 5 entitled, "Authorized or required by statute". The applicable statute is Public Law 109- 461: "Veterans Benefits, Health Care, and Information Technology Act of 2006" specifically, the "Veterans First Contracting Program" outlined in 38 USC § 8127(c).

5. A demonstration that the proposed contractor's unique qualifications or the nature of the acquisition requires use of the authority cited.

VAAR 819.7007 states explicitly, "A determination that only one SDVOSB can meet the requirement is not required," and that using this authority, the following must be verified:

- (1) The anticipated award price of the contract (including options) will not exceed \$5 million; The estimated value of this acquisition is [REDACTED] (including all options) and does not exceed \$5M.
- (2) The justification is prepared pursuant to [FAR 6.302-5\(c\)\(2\)\(ii\)](#) is posted in accordance with [FAR subpart 5.301\(d\)](#); This J&A will be posted to the Government Point of Entry (GPE), SAM.gov.
- (3) The SDVOSB concern has been determined to be a responsible source with respect to performance; Budget Service & Supplies LLC is a registered SDVOSB in the Small Business Administration (SBA) VetCert. Budget Service & Supplies LLC is currently performing multiple VA contracts similar in size as indicated by a query of the FPDS. The Contractor Performance Assessment Reporting System (CPARS) was also queried and resulted in 16 reports for Budget Service & Supplies LLC all of which were rated as satisfactory or better. Additionally, Budget Service & Supplies LLC has previously provided a capability statement during market research that was found by the HITC to be technically proficient.
- (4) In the estimation of the contracting officer, contract award can be made at a fair and reasonable price that offers best value to the Government. A fair and reasonable price determination will be made in accordance with FAR 13.1063(a)(2)(vi), where price reasonableness is based on a comparison to an Independent Government Cost Estimate (IGCE). The IGCE for this requirement is estimated for a total amount of [REDACTED] (including all options).

6. A description of efforts made to ensure that offers are solicited from as many potential sources as is practicable, including whether a notice was or will be publicized as required by Subpart 5.2 and, if not, which exception under 5.202 applies.

IAW VAAR § 819.7007 Sole source awards to service-disabled veteran-owned small business concerns (b), "The contracting officer's determination whether to make a sole source award is a business decision wholly within the discretion of the contracting officer. A determination that only one SDVOSB concern is available to meet the requirement is not required."

7. A determination by the Contracting Officer that the anticipated cost to the Government will be fair and reasonable.

No award shall be made until the Contracting Officer determines the cost to the Government to be fair and reasonable. This determination will be based on a comparison of an Independent Government Cost Estimate (IGCE). Additionally, further discounts will be sought off of the overall proposed price.

8. A description of the market research conducted (see Part 10) and the results

or a statement of the reason market research was not conducted.

In accordance with VAAR 810.001-70, the VA conducted a NAICS code search of the SBA VetCert database and identified a potential 2609 SDVOSB/VOSB Operating under NAICS code 561720.

The Government research the GSA eLibrary using category 561720 (Janitorial Services), key words “janitorial housekeeping”. Based on the information obtained from the GSA eLibrary below, the Government identified 29 potential Service-Disabled, Veteran-Owned Small Businesses.

The Government also conducted a search of Interagency Contract Directory to determine if other procurement instruments intended for use by multiple agencies were available to meet this requirement. NO existing blanket purchase agreements were identified.

9. Any other facts supporting the use of other than full and open competition.

In accordance with Public Law 109-461, codified at 38 USC § 8127, in order to increase contracting opportunities for small business concerns owned and controlled by veterans and small business concerns owned and controlled by veterans with service-connected disabilities, contracting officers of the VA are given specific statutory authority to award a contract to a small business concern owned and controlled by veterans using procedures other than competitive procedures (i.e. a “sole source” contract). The contracting officer may do so in accordance with VAAR 819.7007.

10. A listing of the sources, if any, that expressed, in writing, an interest in the acquisition.

An email was sent to Budget Service & Supplies LLC. (SAM UEI: C3T8BWJJU9W3) on February 28, 2025, to ask if the company was capable and interested in the future requirement, as they are the incumbent contractor. The same date, an email response was received that they are very interested in providing a proposal for HITC Janitorial Services.

11. A statement of the actions, if any, the agency may take to remove or overcome any barriers to competition before any subsequent acquisition for the supplies or services required.

All future requirements will be handled on a case-by-case basis. Toward the expiration of this contract, consideration will be given as to whether any future acquisition should be competitive.

[REDACTED]

[REDACTED]